DIVIS LABORATORIES

RESULT UPDATE

KEY DATA

Rating	BUY
Sector relative	Outperformer
Price (INR)	6,887
12 month price target (INR)	7,950
52 Week High/Low	7,078/5,637
Market cap (INR bn/USD bn)	1,828/19.1
Free float (%)	48.1
Avg. daily value traded (INR mn)	2,057.2

SHAREHOLDING PATTERN

	Mar-26	Dec-25	Sep-25
Promoter	51.88%	51.88%	51.89%
FII	20.29%	20.08%	19.39%
DII	19.22%	19.27%	19.76%
Pledge	0%	0%	0%

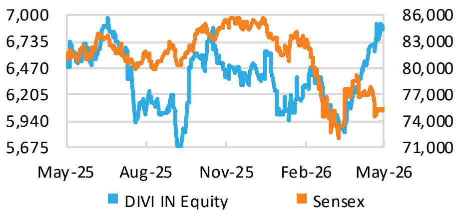
FINANCIALS (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Revenue	93,600	1,05,600	1,36,501	1,55,852
EBITDA	29,680	34,410	48,798	58,030
Adjusted profit	21,549	26,365	36,824	43,540
Diluted EPS (INR)	81.2	99.4	138.8	164.1
EPS growth (%)	36.6	22.3	39.7	18.2
RoAE (%)	15.4	16.6	20.2	20.3
P/E (x)	84.8	69.3	49.6	42.0
EV/EBITDA (x)	60.3	51.7	36.4	30.3
Dividend yield (%)	0.4	0.4	0.4	0.4

CHANGE IN ESTIMATES

	Revised estimates		% Revision	
Year to March	FY27E	FY28E	FY27E	FY28E
Revenue	1,36,501	1,55,852	3.3%	3.1%
EBITDA	48,798	58,030	3.3%	3.1%
Adjusted profit	36,824	43,540	4.2%	3.9%
Diluted EPS (INR)	138.8	164.1	4.2%	3.9%

PRICE PERFORMANCE



Click here to listen to the audio summary

GLP-1 fragment launch after client gets nod

Divi's reported a weak Q4FY26, missing EBITDA/PAT estimates despite 9.5% YoY revenue growth. High raw material costs hit gross margin while West Asia geopolitical friction partially disrupted logistics.

Divi's expects double-digit growth in FY27 driven by: i) CS pipeline; ii) capacity debottlenecking across manufacturing units; and iii) peptide fragments nearing commercials. Divi's complex peptide fragments have advanced in R&D, indicating growing focus on peptides as modality. Upcoming generic API launches following LOEs and its GLP-1 CMO opportunity await regulatory clearance. We are building in 21%/29% revenue/PAT CAGR over FY26E–28E. Retain 'BUY' with a TP of INR7,950 (earlier INR7500). It currently trades at 42x FY28E EPS.

Results a miss; margin miss driven by high RM costs

Divi's revenue grew 9.5% YoY to INR28.3bn. Gross margin contracted 158bp YoY to 60.5%, 203bp lower than our estimate. This was primarily due to high RM cost (+14% YoY). EBITDA grew 5.4% YoY to INR9.3bn missing our/consensus numbers by 8%/4%. EBITDA margin fell 128bp YoY to 33% and missed consensus/our estimate by 80bp/101bp. Other income shot up 80% YoY leading to PAT growth of 4% YoY to INR6.8bn (missing consensus/our estimate by 11%/3%). Overall numbers are weaker and management commentary suggests that it faced one month of the complex operating environment due to the geopolitical uncertainties in West Asia.

Fragments : Technical validation done; awaiting regulatory clearance

Divi's put up a decent showing in CS/Nutraceuticals, which grew 8% (USD164mn)/9% (USD6mn) YoY while generics fell 7% (USD115mn). For FY26, CS/Nutraceuticals grew 17%/16% YoY while generics fell 4%. Management expects double-digit growth in FY27E, primarily driven by the CS business and long-term innovator partnerships. This momentum is supported by capacity debottlenecking (moving early-stage projects from Units 1/2 to Unit 3), technical validation of peptide fragments (with more in advanced R&D) and a highly anticipated GLP-1 CMO being opportunity pending for regulatory clearances. Furthermore, generic API launches post-LOE are likely to drive future generic growth.

Fragments opportunity keeps us excited on name

While Q4 was weak, we remain confident on Divi's due to its growing CS business, peptide opportunity and likely boost in generics business from LOE opportunity. We rollover our EV/EBITDA valuation (36x) to 12M-Dec-28 and raise target price to INR7,950 (earlier INR7,500). Logistics/RM price can be a near-term risk.

Financials

Year to March	Q4FY26	Q4FY25	% Change	Q3FY26	% Change
Net Revenue	28,310	25,850	9.5	26,040	8.7
EBITDA	9,340	8,860	5.4	8,900	4.9
Adjusted Profit	6,808	6,543	4.0	6,241	9.1
Diluted EPS (INR)	25.7	24.7	4.0	23.5	9.1

Shrikant Akolkar
Shrikant.Akolkar@nuvama.com

Tanay Parab
Tanay.Parab@nuvama.com

Rohan Shukla
rohan.shukla@nuvama.com

Financial Statements

Income Statement (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Total operating income	93,600	1,05,600	1,36,501	1,55,852
Gross profit	56,350	64,670	85,996	1,00,524
Employee costs	12,430	14,420	17,063	19,481
R&D cost	0	0	0	0
Other expenses	14,240	15,840	20,135	23,013
EBITDA	29,680	34,410	48,798	58,030
Depreciation	4,020	4,685	5,413	6,244
Less: Interest expense	20	230	280	140
Add: Other income	3,520	5,070	5,577	6,135
Profit before tax	29,160	34,565	48,682	57,781
Prov for tax	7,250	8,200	11,858	14,241
Less: Exceptional item	0	0	0	0
Reported profit	21,910	26,365	36,824	43,540
Adjusted profit	21,549	26,365	36,824	43,540
Diluted shares o/s	265	265	265	265
Adjusted diluted EPS	81.2	99.4	138.8	164.1
DPS (INR)	30.0	30.0	30.0	30.0
Tax rate (%)	24.9	23.7	24.4	24.6

Balance Sheet (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Share capital	530	530	530	530
Reserves	1,49,160	1,67,564	1,96,428	2,32,007
Shareholders funds	1,49,690	1,68,094	1,96,958	2,32,537
Minority interest	0	0	0	0
Borrowings	40	45	53	62
Trade payables	9,100	8,679	11,219	12,810
Other liabs & prov	10,490	10,490	10,490	10,490
Total liabilities	1,69,320	1,87,309	2,18,720	2,55,899
Net block	54,380	60,311	68,623	78,059
Intangible assets	0	0	0	0
Capital WIP	10,220	10,220	10,220	10,220
Total fixed assets	64,600	70,531	78,843	88,279
Non current inv	650	650	650	650
Cash/cash equivalent	37,150	48,072	53,331	69,879
Sundry debtors	27,310	23,145	29,918	34,159
Loans & advances	3,990	3,990	3,990	3,990
Other assets	32,360	37,611	48,617	55,509
Total assets	1,69,320	1,87,309	2,18,720	2,55,899

Important Ratios (%)

Year to March	FY25A	FY26E	FY27E	FY28E
Gross margin	60.2	61.2	63.0	64.5
R&D as a % of sales	0	0	0	0
Net Debt/EBITDA	(1.3)	(1.4)	(1.1)	(1.2)
EBITDA margin (%)	31.7	32.6	35.7	37.2
Net profit margin (%)	23.0	25.0	27.0	27.9
Revenue growth (% YoY)	19.3	12.8	29.3	14.2
EBITDA growth (% YoY)	34.6	15.9	41.8	18.9
Adj. profit growth (%)	36.6	22.3	39.7	18.2

Free Cash Flow (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Reported profit	29,160	34,565	48,682	57,781
Add: Depreciation	4,020	4,685	5,413	6,244
Interest (net of tax)	(2,970)	(230)	(280)	(140)
Others	100	460	560	15,519
Less: Changes in WC	(5,540)	(1,507)	(15,239)	(24,782)
Operating cash flow	16,530	29,773	27,278	40,381
Less: Capex	(14,380)	(10,666)	(13,787)	(15,741)
Free cash flow	2,150	19,108	13,491	24,640

Assumptions (%)

Year to March	FY25A	FY26E	FY27E	FY28E
GDP (YoY %)	6.0	6.2	6.2	6.2
Repo rate (%)	6.0	5.0	5.0	5.0
USD/INR (average)	84.0	88.0	88.0	88.0
Generics growth (%)	5.1	0.1	15.8	20.0
Custom synthesis (%)	36.4	21.6	31.6	(0.3)
Carotenoids growth (%)	0	0	0	0
Capex (USD mn)	171.2	125.5	162.2	185.2

Key Ratios

Year to March	FY25A	FY26E	FY27E	FY28E
RoE (%)	15.4	16.6	20.2	20.3
RoCE (%)	20.4	21.9	26.8	27.0
Inventory days	315	312	312	343
Receivable days	95	87	71	75
Payable days	85	79	72	79
Working cap (% sales)	52.5	48.0	48.3	48.4
Gross debt/equity (x)	0	0	0	0
Net debt/equity (x)	(0.2)	(0.3)	(0.3)	(0.3)
Interest coverage (x)	1,283.0	129.2	154.9	369.9

Valuation Metrics

Year to March	FY25A	FY26E	FY27E	FY28E
Diluted P/E (x)	84.8	69.3	49.6	42.0
Price/BV (x)	12.2	10.9	9.3	7.9
EV/EBITDA (x)	60.3	51.7	36.4	30.3
Dividend yield (%)	0.4	0.4	0.4	0.4

Valuation Drivers

Year to March	FY25A	FY26E	FY27E	FY28E
EPS growth (%)	36.6	22.3	39.7	18.2
RoE (%)	15.4	16.6	20.2	20.3
EBITDA growth (%)	34.6	15.9	41.8	18.9
Payout ratio (%)	36.3	30.2	21.6	18.3

Source: Company and Nuvama estimates

Q4FY26 conference call: Key takeaways

Guidance

- Revenue guidance: Management focuses on double-digit revenue growth over the long term.
- Margin outlook remains stable though hurt by rising raw material costs and continued pricing pressure in generics.

Revenue mix

- **FY26 product mix:** generics – 45% and custom synthesis – 55%.
- **Nutraceutical revenue:** Stood at INR9.5bn in FY26 versus INR7.8bn in FY25.
- **Exports:** Exports contributed ~89% of total sales; Europe and US contributed ~74% of export revenue in FY26.
- CC growth for FY26 was 6.8% though management noted this does not capture the true operational picture due to severe currency fluctuations.
- One-time impact of INR0.7bn due to implementation of labour codes was provided during FY26.
- During FY26, Divi's capitalised assets worth INR15.44bn of which ~INR8bn was capitalised in Q4FY26.
- Out of the previously guided INR15bn expansion plan for Kakinada (Unit 3), INR6bn has been successfully capitalised till date.
- By end-FY26, CWIP was INR21.1bn, cash/cash equivalents was INR34.1bn; receivables were INR29.8bn and inventories were INR39.5bn.

Raw materials and supply chain

- West Asia geopolitical tensions led to disruptions in trade routes, port congestion and increased freight rates and logistics uncertainty. This disruption was felt for only about one month of FY26.
- **RM sourcing challenge/pricing:** Sourcing raw materials has become a challenge, but critical raw materials/solvent availability remains manageable due to supply-chain preparations. Raw material and solvent prices have increased due to crude oil spikes and macro inflation though Divi's is attempting to pass on costs wherever feasible.
- Management indicated no production stoppages despite sourcing difficulties in solvents and other imported materials.
- Methanol and ammonia supply chains were hurt by dependence on Middle East-linked imports.
- **Risk mitigation and cost pass through:** Divi's has strengthened sourcing ecosystem through broader supplier base and deeper domestic procurement network. The company is reviewing raw material procurement on a month-on-month rolling basis within a quarterly visibility framework to ensure uninterrupted production for the next three months. Most generic API contracts are backed by long-term agreements with variability clauses, enabling pass-through of raw material cost inflation.

- Freight-related cost pressures are likely to continue in the near term and have been incorporated into planning.
- **Inventories:** Procurement planning was done proactively to secure supplies and manage inventories amid uncertain lead times. Having said that, inventory build-up is likely to increase Q1FY27 onwards as the company absorbs higher procurement volumes to ensure supply continuity and manufacturing stability.
- **Customer response:** Divi's highlighted that customers have not resorted to panic buying or inventory stocking due to confidence in supply reliability.

CS business

- Customer engagement in the custom synthesis business remained strong through FY26 with an active and diversified pipeline.
- Several molecules are progressing across Phase 2, Phase 3, validation and qualification stages.
- Management highlighted that lifecycle transitions in CS are a continuous process with mature products gradually replaced by new pipeline opportunities as older patents expire.
- Commercial supplies from dedicated CS facilities are likely in CY27. Commercialisation timelines are subject to customer approvals/regulatory clearances across geographies. The approval timelines for innovative projects can range from six months to few years depending on regulatory agencies.
- No single product meaningfully affects revenue due to its diversified multi-product portfolio.

Manufacturing/capacities

- **Kakinada:** Unit 3 operations continued to scale up steadily during FY26. Select early-stage and pre-chemistry intermediate activities from Units 1/2 are being shifted to Unit 3 to free up GMP capacity at Units 1/2 for advanced formulations. Transfers to Unit 3 are happening progressively based on customer qualification timelines/product demand. Unit 3 plays a key role in backward integration and future capacity optimization.
- **Dedicated projects:** The three dedicated custom synthesis projects are progressing through validation and customer regulatory filing stages.
- Divi's continues to invest in continuous flow chemistry, biocatalysis and automation technologies to improve safety, efficiency and scalability.
- Revenue realisation from capex projects is likely over a two-year period under comfortable expectations though it remains tied to client regulatory timelines.

Peptides/ GLP-1

- Divi's continued to strengthen peptide capabilities through investments in solid and liquid phase peptide synthesis.
- Several peptide fragments were successfully validated during Q4FY26 with additional projects under development.
- The company remains engaged with multiple customers across therapeutic categories in the peptide segment. Other opportunities are there across several peptide therapeutic areas beyond GLP-1.

- Long-term agreements with customers provide volume/revenue visibility irrespective dosage forms such as oral GLP-1 products.
- The company said it has several 3,000-litre SPPS units, making it largest SPPS based peptide manufacturer in India among one of the largest players in the world.
- Peptide projects are currently at varying stages including R&D, qualification and validation.

Contrast media business

- Divi's continues to supply iodine-based contrast media commercially to multiple innovator pharma companies under long-term agreements.
- Some innovator customers are actively increasing volumes while others have maintained stable procurement levels.
- The company remains heavily focused on innovator contrast media opportunities than generic contrast media.
- Gadolinium-based contrast media projects are currently at Phase 2 and Phase 3 stages where clients are purchasing smaller quantities for clinical qualification studies.
- Commercialisation of gadolinium-based products will depend on customer regulatory approvals and subsequent validation activities.

Generics business

- Generic API business witnessed steady volume growth during FY26 despite continued pricing pressure.
- Growth in recent quarters was driven entirely by the existing product portfolio rather than new product launches.
- Management indicated that upcoming product launches from the pipeline (LOE products) are likely to provide volume growth over the next few years.
- Pricing pressure in generics continues although customer relationships remain stable and collaborative.
- Divi's highlighted that generic API contracts are supported through long-term supply agreements with pricing review mechanisms.
- Spot business continues in select markets such as South America and Eastern Europe.
- Divi's has not lost any customer volumes or supplies despite competitive pressures.

Exhibit 1: Actuals versus estimates (INR mn)

	Q4FY26	Q4FY25	YoY (%)	Q3FY26	QoQ (%)	Nuvama estimate	Deviation (%)	Consensus	Deviation (%)
Revenue from operations	28,310	25,850	9.5	26,040	8.7	29,682	(4.6)	28,782	(1.6)
Cost of revenue	11,190	9,810	14.1	9,450	18.4	11,131	0.5		
Gross profit	17,120	16,040	6.7	16,590	3.2	18,551	(7.7)		
Gross margin (%)	60.5	62.1	-158bps	63.7	-324bps	62.5	-203bps		
Employee cost	3,810	3,500	8.9	3,670	3.8	4,155	(8.3)		
Other expenses	3,970	3,680	7.9	4,020	(1.2)	4,304	(7.8)		
EBITDA	9,340	8,860	5.4	8,900	4.9	10,092	(7.5)	9,726	(4.0)
EBITDA margin (%)	33.0	34.3	-128bps	34.2	-119bps	34.0	-101bps	33.8	-80bps
Adj EBITDA (fx)	9,340	8,860	5.4	8,900	4.9	10,092	(7.5)	9,726	(4.0)
Adj EBITDA margin (%)	33.0	34.3	-128bps	34.2	-119bps	34.0	-101bps	33.8	-80bps
Other income	1,550	860	80.2	880	76.1	1,200	29bps		
Depreciation	1,200	1,070	12.1	1,180	1.7	1,173	2.3		
PBT	9,630	8,640	11.5	7,800	23.5	10,049	(4.2)		
Income tax expense	2,120	2,020	5.0	1,970	7.6	2,412	(12.1)		
Reported PAT	7,510	6,620	13.4	5,830	28.8	7,637	(1.7)	7,028	6.9
Adjusted PAT	6,808	6,543	4.0	6,241	9.1	7,637	(10.9)	7,028	(3.1)

Source: Company, Nuvama Research

Exhibit 2: Quarterly snapshot (INR mn)

Year to March	Q4FY26	Q4FY25	% change	Q3FY26	% change	FY26E	FY27E	FY28E
Net Revenue	28,310	25,850	9.5	26,040	8.7	1,05,600	1,36,501	1,55,852
Cost of revenue	11,190	9,810	14.1	9,450	18.4	40,930	50,505	55,327
Gross profit	17,120	16,040	6.7	16,590	3.2	64,670	85,996	1,00,524
Employee cost	3,810	3,500	8.9	3,670	3.8	14,420	17,063	19,481
Other expenses	3,970	3,680	7.9	4,020	(1.2)	15,840	20,135	23,013
EBITDA	9,340	8,860	5.4	8,900	4.9	34,410	48,798	58,030
EBITDA margin (%)	33.0	34.3	-128	34.2	-119	32.6	35.7	37.2
Depreciation	1,200	1,070	12.1	1,180	1.7	4,685	5,413	6,244
EBIT	8,140	7,790	4.5	7,720	5.4	29,725	43,385	51,787
Less: Interest Expense	60	10		60		230	280	140
Add: Other income	1,550	860		880		5,070	5,577	6,135
Add: Prior period items								
Add: Exceptional items	0	0		-740		0	0	0
Profit before tax	9,630	8,640	11.5	7,800	23.5	34,565	48,682	57,781
Less: Provision for Tax	2,120	2,020	5.0	1,970	7.6	8,200	11,858	14,241
Less: Minority Interest								
Add: Share of profit from associates								
Reported Profit	7,510	6,620	13.4	5,830	28.8	26,291	36,824	43,540
Adjusted Profit	6,808	6,543	4.0	6,241	9.1	26,291	36,824	43,540
No. of Diluted shares outstanding	265	265		265		265	265	265
Adjusted Diluted EPS	26	25	4.0	24	9.1	99.1	138.8	164.1
as % of revenues								
Cost of revenue	39.5	37.9		36.3		38.8	37.0	35.5
Employee cost	13.5	13.5		14.1		13.7	12.5	12.5
R&D	0.0	0.0		0.0		0.0	0.0	0.0
Total operating expenses	67.0	65.7		65.8		67.4	64.3	62.8
Gross profit	60.5	62.1		63.7		61.2	63.0	64.5
EBITDA	33.0	34.3		34.2		32.6	35.7	37.2
Net profit	26.5	25.6		22.4		24.9	27.0	27.9
Tax rate	22.0	23.4		25.3		23.7	24.4	24.6

Source: Company, Nuvama Research

Company Description

Divi's is well positioned in the USD45bn global contract manufacturing market as a research- focused, contract manufacturing player. The company services 20 of the top 25 global companies with over 100 projects in the pipeline. It collaborates with innovator companies through the early drug development stage to the commercialisation stage. Divi's revenues are derived from custom synthesis of APIs/intermediates for innovator companies while generic exports make up the balance. It is the largest manufacturer of peptide reagents and is a leader in products such as Naproxen Sodium (anti-inflammatory drug) and Dextromethorphan (cough suppressant).

Investment Theme

Divi's early-mover advantage in CRAMS, strict adherence to IPR norms and strong relationships with pharma majors marked its transformation from an API player to a successful India-based CRAMS player. By virtue of its long-standing presence, the company has managed to gain a foothold in this segment. While Divis is likely to retain its edge in legacy molecules and also add custom synthesis projects, new molecules can act as a potential growth lever. Its next leg of growth involves i) molecules like sartans, mesalamine where competition is well entrenched; and ii) contrast media, which is a niche market with high entry barriers. Thus, we acknowledge these promising opportunities, but also note the uncertainty around it.

Key Risks

- Weaker order book than estimated.
- Faster genericization of Sacubitril/valsartan and few other products
- Inability to replace key CS products in-time from the commercial portfolio
- Higher than expected price pressure in generic API business.
- Delay in commissioning of the key projects
- Regulatory issues w.r.t. manufacturing compliance with US FDA
- Potential US tariffs on CDMO players

Additional Data

Management

Managing Director	Murali K Divi
Executive Director	Mr. NV Ramana
CFO	Venkatesa Perumallu Pasumarthy
Whole time Director & CEO	Dr. Kiran S. Div
Auditor	Price Waterhouse Chartered Accountants LLP

Holdings – Top 10*

	% Holding		% Holding
SBI Funds	4.14	Axis AMC	1.34
Republic of Sin	3.89	Norges Bank	1.33
LIC	2.79	Nippon Life AMC	1.37
Vanguard	2.10	HDFC AMC	2.09
Blackrock	1.75	ICICI Pru AMC	0.85

**Latest public data*

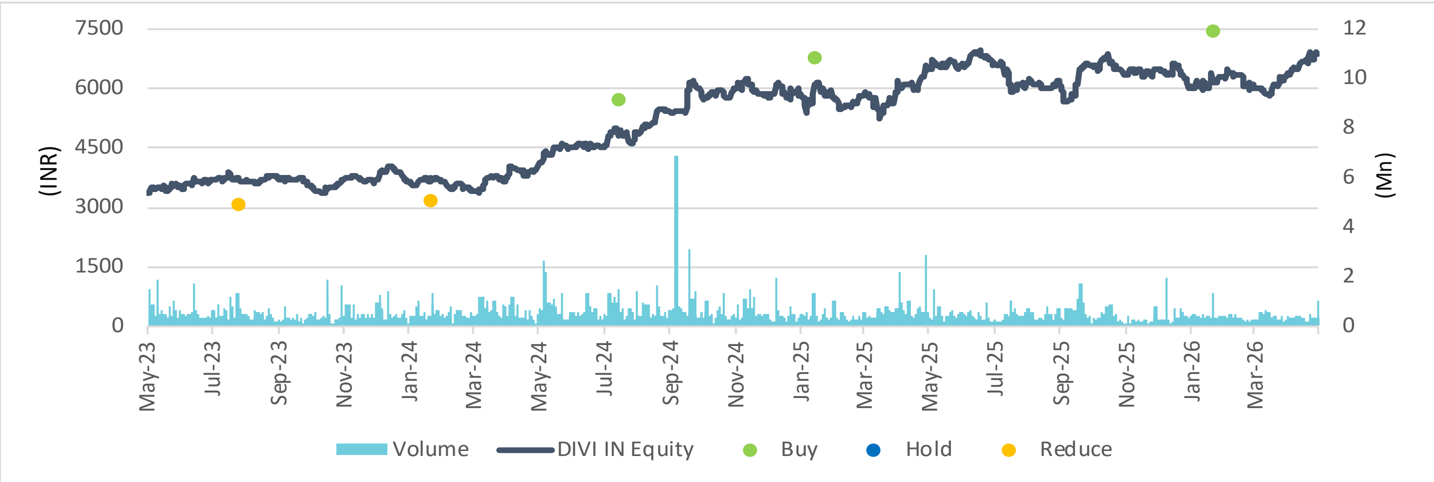
Recent Company Research

Date	Title	Price	Reco
12-Feb-26	Mixed bag; Kakinada Phase 2 likely; *Result Update*	6,173	Buy
08-Nov-25	CS grows, hinting more capex ; *Result Update*	6,656	Buy
28-Aug-25	Nearing oral GLP-1 opportunity; *Company Update*	6,190	Buy

Recent Sector Research

Date	Name of Co./Sector	Title
22-May-26	Aurobindo Pharma	Cautious margin commentary; *Result Update*
19-May-26	Zydus Lifesciences	Asserting growth through specialty asset; *Result Update*
13-May-26	Cipla	Weak quarter; improved outlook ; *Result Update*

Rating and Daily Volume Interpretation



Source: Bloomberg, Nuvama research

Rating Rationale & Distribution: Nuvama Research

Rating	Expected absolute returns over 12 months	Rating Distribution
Buy	15%	222
Hold	<15% and >-5%	61
Reduce	<-5%	34

Market Cap Distribution

Nuvama Coverage Companies	Numbers
Large Cap	84
Mid Cap	84
Small Cap	149

We cover around 76% of Market Cap of NSE 500

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Abneesh Roy
Head of Research Committee
Abneesh.Roy@nuvama.com

ABNEESH
KUMAR
ROY

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